bancor of their credit in the books of the Clearing Union. Member countries were also entitled to transfer bancor to other members overdrawing their own accounts with the Union, till the debit balances thereby created reached the size of their respective quotas. The plan was thus based on the ‘overdraft’ principle and did not encourage excessive debit or credit balances, both being made subject to payment of charges. Non-members were also to be allowed to keep credit clearing accounts with the Union, but they had no right to overdrafts and no voice in the management.

The White plan (of April 1943) which was less elegant and visionary but more consistent with old-fashioned banking principles and populist sentiments, proposed the setting up of a Stabilization Fund and member countries were to have three distinct relationships with it, viz., as stockholders, as customers, and as depositors. The monetary unit of the Fund was to be unitas, equivalent to 137 1/7 grains of fine gold or US $10; the value of the currency of each member country was to be established in terms of gold or unitas and could not be modified without the approval of the Fund.

Each member was to be allotted a quota determined on the basis of its holdings of gold and foreign exchange, the magnitude of fluctuations in its balance of international payments, and its national income. Quotas were payable in gold, securities and local currency in stipulated proportions, to constitute sources of funds for the exchange operations of the Fund. The right of a member to purchase foreign exchange from the Fund with its local currency was recognized only to the extent of its quota, subject to certain limitations. However, the Fund might sell foreign exchange till its holdings of the member’s currency reached 200 percent of the quota, or even beyond this limit, if the country agreed to take appropriate corrective measures or the balance of payments of the country whose currency was acquired was such as to warrant the expectation that the excess currency holdings could be disposed of within a reasonable time. When the Fund’s net holdings of a member’s currency exceeded the quota for that country, the member was to maintain a special reserve with the Fund and also pay charges on excess holdings of its currency by the Fund. Countries having continued surplus would also be required to take corrective measures.

During June–July 1943, discussions on the White plan took place in the US between the Treasury and the representatives of nearly thirty Allied